

(2) Discretionary Preference under CCP § 36(e)

Plaintiffs alternatively seek preference under CCP section 36(e), which permits the Court to grant preference upon a showing that the interests of justice will be served. Under this provision, the decision rests in the discretion of the Court in light of the totality of the circumstances. (Salas, supra, 42 Cal.3d at 344.) Unlike section 36(a), the analysis under section 36(e) may take into consideration the interests of opposing parties.

Trial preference under CCP section 36(e) is denied. Plaintiffs rely on Mr. Medak's age and medical condition, Ms. Philbin's approaching seventieth birthday, and the fact that the Property has been uninhabitable for over two years. The Court acknowledges the hardship of prolonged displacement. However, the underlying health showing under section 36(e) rests on the same evidence the Court has found insufficient under section 36(a). Ms. Philbin's approaching seventieth birthday adds little to the analysis. The uninhabitability of the Property is a consequence of the alleged wrongdoing for which Plaintiffs seek damages, and is better addressed through the ordinary course of litigation rather than by accelerating trial.

The Court also considers the prejudice raised by Rodriguez Drywall, Inc. and Insul-Techs with respect to Sigura's indemnity cross-claims. Rodriguez appeared in the case on February 11, 2026, and Insul-Techs on December 16, 2025. Both parties state that they have not completed discovery, that their experts require time to evaluate the Property and damages, and that a trial within 120 days would prevent them from bringing pretrial, dispositive motions. Such prejudice would be irrelevant under section 36(a). But under section 36(e), the Court must consider the totality of circumstances and this prejudice is part of that consideration.

Plaintiffs argue in their moving papers that Sigura's indemnity cross-claims can be tried separately from the main case. (MPA, p. 5:4-5.) Severance under CCP section 1048(b) might address the concerns raised by Cross-Defendants, but severance is not before the Court absent a noticed motion that gives all interested parties an opportunity to respond. The Court therefore does not consider severance as part of the section 36(e) analysis.

The interests of justice do not warrant trial preference on this record. Accordingly, the motion is denied under section 36(e), without prejudice.

Disposition

For the reasons stated, Plaintiffs' motion is **denied without prejudice**.

15. 9:00 AM CASE NUMBER: C25-01327
CASE NAME: MARIA ESTANTE VS. NOCD FLORIDA BEHAVIORAL HEALTH, P.A.
***HEARING ON MOTION IN RE: COMPEL ARBITRATION CONTINUED FROM 01.29.26 HEARING**
FILED BY:
TENTATIVE RULING:

Please see Line 16.

16. 9:00 AM CASE NUMBER: C25-01327

CASE NAME: MARIA ESTANTE VS. NOCD FLORIDA BEHAVIORAL HEALTH, P.A.

***MOTION/PETITION TO COMPEL ARBITRATION**

FILED BY: NOCD FLORIDA BEHAVIORAL HEALTH, P.A.

TENTATIVE RULING:

Defendants, NOCD Florida Behavioral Health, P.A. (“NOCD Florida”) and NOCD, Inc. (“NOCD” or, collectively “corporate defendants”), as well as Dr. Sara Conley, move to compel arbitration after plaintiff, Maria Rheba Estante, filed this action. The motions are **denied**. While a court must order arbitration if it determines that a valid agreement to arbitrate exists, the agreement here is unconscionable, as discussed below.

I. Background

Plaintiff worked for defendant NOCD Florida from approximately March 2022 through May 2023 as a Licensed Marriage and Family Therapist. She signed an arbitration agreement at NOCD’s request in December of 2022. In the First Amended Complaint, plaintiff alleges six causes of action: including (1) Whistleblower Retaliation in Violation of Labor Code § 1102.5; (2) Wage and Hour Violations Under Labor Code § 203 (Failure To Pay All Wages Due); (3) Wrongful Termination of Employment in Violation of Public Policy; (4) Intentional Infliction of Emotional Distress; (5) Violation of Business and Professions Code § 17200, et seq.; and (6) Violations of Business and Professions Code § 510.

Corporate defendants were served in June of 2025, but failed to timely respond. Plaintiff took their defaults in August. Dr. Sara Conley was served in September and, in response, moved to compel arbitration. However, that motion was continued to correspond with the motion by corporate defendants, which was filed after their default was set aside on February 5, 2026. This ruling addresses both the motion by Dr. Sara Conley and that of NOCD corporate defendants.

Defendants provide a declaration by Matthew Thorne (hereinafter “Thorne Decl.”), the Chief Financial Officer of NOCD, Inc., who attaches as Exhibit A the arbitration agreement signed by plaintiff. Defendants argue that the arbitration agreement here covers plaintiff’s claims, that it is enforceable under California law, and that this action should be stayed pending arbitration.

In opposition to the motion, plaintiff argues (1) that NOCD Florida cannot enforce the agreement because it is not licensed to do business in California, (2) Sara Conley is not able to enforce the agreement, and (3) the agreement is unconscionable. Plaintiff submits her own declaration in support of the opposition as well as a declaration by counsel, request for judicial notice, and objections to defendants’ evidence.

Defendants’ reply includes evidence that NOCD Florida is in the process of completing its registration to do business in California pursuant to the California Corporations Code, which is expected to be complete by the date of hearing on this motion.

II. Evidentiary Matters

Plaintiff’s objections to the Declaration of Matthew Thorne are **overruled**. Plaintiff’s request for judicial notice of search results from the Secretary of State’s website on April 8, 2026, showing zero results for NOCD Florida’s name, is **granted**.

III. Standard

"A petition to compel arbitration should be granted if the court determines that an agreement to arbitrate the controversy exists. (Code Civ. Proc., § 1281.2.) The moving parties bear the burden of proving the existence of the arbitration agreement by a preponderance of the evidence. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580.) Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove its defense. (*Alvarez, supra*, 60 Cal.App.5th at 580.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125; Code Civ. Proc. § 1281].)

IV. Discussion

A. Whether Agreement Was Formed

In California, contract formation requires free and mutual consent communicated to each other. (Civ. Code, § 1565.) Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties. (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 788.)

Here, defendants provide evidence of plaintiff having signed the arbitration agreement at issue. (See Thorne Decl. in Support of Motion, filed October 24, 2025, Ex. A.) In her opposition, plaintiff does not deny having signed it. Her own declaration acknowledges having received the arbitration agreement as a PDF in December 2022, though she draws attention to aspects she contends were procedurally unconscionable and contends she did not realize she was giving up her right to a jury trial by signing the agreement. (Estante Decl., ¶¶3, 5.)

The agreement unambiguously states, in relevant part:

I UNDERSTAND THAT BY SIGNING THIS AGREEMENT, I AM WAIVING ALL RIGHTS TO A TRIAL OR HEARING BEFORE A JUDGE OR A JURY FOR ANY AND ALL DISPUTES AND CLAIMS SUBJECT TO ARBITRATION UNDER THIS AGREEMENT.

This language, and the similar language found in paragraph 5, is sufficiently “clear and explicit” and, in the absence of fraud, overreaching or excusable neglect, “one who signs an instrument may not avoid the impact of its terms on the ground that he failed to read the instrument before signing it.” (*Hulsey v. Elsinore Parachute Center* (1985) 168 Cal.App.3d 333, 339.) This even extends to agreements containing terms not understood by the assenting party, assuming that plaintiff here lacked some understanding as to the terms (she does not explicitly state what portion she did not understand). (See, e.g., *Randas v. YMCA of Metropolitan Los Angeles* (1993) 17 Cal.App.4th 158, 163.)

Defendants have met their burden to show the existence of an agreement to arbitrate.

B. Who is Bound / Who May Move to Compel

Plaintiff argues that neither defendant NOCD Florida nor Dr. Sara Conley may compel arbitration under the agreement she signed.

With its reply, NOCD Florida submits a supplemental declaration by Matthew Thorne in which NOCD offers evidence that it is currently in the process of completing its registration to do business in California, purportedly mooted the argument by plaintiff that this motion cannot be maintained by it. The Court is inclined to permit the action to proceed on this representation, but if the party is not in good standing by the time of the hearing on this matter, it shall be brought to the Court’s attention.

Both Conley and NOCD defendants are subject to the description of persons covered by the agreement, which states, “This Agreement applies to all claims that the Company may have against the Employee, as well as all claims that the Employee may have against the Company, *including any of the Company’s* partners, affiliated companies, successors, assigns, owners, directors, officers, shareholders, *employees, managers*, members, and *agents*.” (Thorne Decl., Ex. A, ¶1(b), emphasis added.) Dr. Sara Conley is an employee of NOCD Florida. (Thorne Decl., ¶6.) NOCD is an agent and manager of NOCD Florida. (Thorne Decl., ¶13.)

Accordingly, they are both entitled to enforce the agreement.

C. Unconscionability

Plaintiff contends the arbitration agreements are unconscionable and therefore unenforceable. They bear the burden of proving unconscionability. (*Pinnacle Museum Tower Assn., supra*, 55 Cal.4th at 236.) To briefly recapitulate the principles of unconscionability, the doctrine has both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. The procedural element of an unconscionable contract generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it. (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071, citing *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113-114.)

While both procedural and substantive unconscionability must be present in order to declare a contract term unconscionable, they need not be present in the same degree. (*Sanchez v. Valencia Holding Co. LLC* (2015) 61 Cal.4th 899, 910.) “[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Id.*, quoting *Armendariz* at 114.)

1. Procedural Unconscionability

Plaintiff argues the arbitration agreement is procedurally unconscionable. Defendant attempts to argue that it is not, but this particular characteristic of arbitration agreements executed as a condition to employment is difficult to avoid.

The procedural unconscionability analysis is laid out in *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111. The analysis begins with an inquiry into whether the contract is one of adhesion. (*Id.* at pp. 126-127, citations omitted.) An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power on a take-it-or-leave-it basis. (*Ibid.*) Arbitration contracts imposed as a condition of employment are typically adhesive. (*Ibid.*) The pertinent question, then, is whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required. (*Ibid.*) Oppression occurs where a contract involves lack of negotiation and meaningful choice, and surprise occurs where the allegedly unconscionable provision is hidden within a prolix printed form. (*Ibid.*)

The arbitration agreement in this case was presented to plaintiff several months after she was hired as a condition to continued employment. The agreement was presented as a PDF document, apparently without any opportunity for negotiation. No additional circumstances suggest much in the way of procedural unconscionability. The agreement is a stand-alone, clear document which plaintiff likely reviewed outside the presence of any superior, given that she worked remotely. She concedes, by the terms of the agreement itself, that she had the opportunity to consult with counsel if desired. (Thorne Decl., Ex. A, final paragraph.)

Still, the agreement, as in *O.T.O., LLC*, is a contract of adhesion. At paragraphs 12, it states, “Employee has also entered into this Agreement as a term of Employee’s continuing employment with the Company.” (Thorne Decl., Ex. A, ¶12.) As in *O.T.O., LLC*, the agreement here suffers from some degree of procedural unconscionability, requiring the Court to also consider substantive unconscionability.

2. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results. (*Armendariz, supra*, 24 Cal.4th at 114.) A contract term is not substantively unconscionable when it merely gives one side a greater benefit. (*Pinnacle, supra*, 55 Cal.4th at 246.) “Not all one-sided contract provisions are unconscionable; hence the various intensifiers in our formulations: ‘overly harsh,’ ‘unduly oppressive,’ ‘unreasonably favorable.’” (*Sanchez, supra*, 61 Cal.4th at 911, emphasis in original.) To be substantively unconscionable, the agreement must be something more than a mere “bad bargain.” (*Id.*)

In evaluating substantive unconscionability, courts often look to whether an arbitration agreement meets certain minimum levels of fairness. At a minimum, a mandatory employment arbitration agreement must (1) provide for neutral arbitrators, (2) provide for more than minimal discovery, (3) require a written award that permits limited judicial review, (4) provide for all of the types of relief that would otherwise be available in court, and (5) require the employer to pay the arbitrator’s fees and all costs unique to arbitration. Elimination of or interference with any of these basic provisions makes an arbitration agreement substantively unconscionable. (*Armendariz*, 24 Cal.4th at 102-103.)

Here, the agreement specifies the arbitrator shall be neutral, requires a written award, incorporates the rules of the American Arbitration Association (“AAA”), which have been held to be sufficient with respect to discovery, and requires the employer to pay the arbitrator’s fees and all costs unique to arbitration.

However, in opposing corporate defendants’ motion, plaintiff argues that the agreement is substantively unconscionable on multiple grounds including: (1) it lacks mutuality by carving employer claims out of the arbitration requirement, (2) it eliminates monetary recovery through administrative proceedings, and (3) it bars PAGA claims.

i. Employer Claims Carve-Out

With respect to plaintiff’s contention regarding the lack of mutuality, the Court agrees that the provision is more likely to favor the employer here. Defendants, in their reply, cite *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1250 for the idea that a contract “can provide a ‘margin of safety’ that provides the party with superior bargaining strength a type of extra protection for which it has a legitimate commercial need without being unconscionable.” However, several courts since *Baltazar* have concluded that a complete carve-out for confidentiality-related claims results in unfair one-sidedness. (*Farrar v. Direct Commerce, Inc.* (2017) 9 Cal.App.5th 1257, 1273.)

This carve-out provision and its lack of mutuality is substantively unconscionable.

ii. Bar on Monetary Recovery Through Administrative Proceedings

With respect to the substantive unconscionability of the provision denying plaintiff recovery through administrative means, defendants simply assert the Court should not follow binding appellate case law based on a vague reference to the Federal Arbitration Act, preemption in the context of Berman hearings. Defendants cite *Sonic-Calabazas A, Inc. v. Moreno* (2013) 57 Cal.4th

1109.

Plaintiff cites *Hasty v. American Automobile Assn. etc.* (2023) 98 Cal.App.5th 1041, which was decided after *Sonic-Calabasas* and which made the following observation: “Generally applicable contract defenses, such as unconscionability, may be applied to invalidate arbitration agreements without contravening the Federal Arbitration Act or California law.” (*Hasty, supra*, 98 Cal.App.5th at 1053, citing *OTO, L.L.C., supra*, 8 Cal.5th at 125 [quote cleaned up].)

In *Hasty*, addressing a similar provision, the court said it had “nothing to do with arbitration. Rather, it is simply a waiver of the right to compensation or relief in the administrative context, which certainly seems one-sided. Government administrative agencies after all generally oversee and enforce statutes and regulations against employers to protect employees.” The *Hasty* court went on to state, “[a] waiver of administrative remedies and relief, hidden in an arbitration agreement, is overly harsh and shocks the conscience.” (*Id.* at 1060.)

Similarly, here, the provision is substantively unconscionable.

iii. PAGA Waiver

Plaintiff contends the PAGA Waiver in Section 4 is substantively unconscionable.

Provisions barring PAGA actions are unconscionable. As stated by the court in *Hasty*, a ban on all representative PAGA actions is unconscionable “because it requires an employee to waive a right that is not waivable.” (*Hasty, supra*, 98 Cal.App.5th at 1063.)

Defendants attempt to argue plaintiff “misreads” the agreement and that it does not prohibit PAGA actions because another paragraph states actions “expressly excluded from arbitration.” (NOCD Reply, 5:23-6:2.) But Section 4 of the agreement, entitled, “CLASS, COLLECTIVE OR REPRESENTATIVE ACTION WAIVER,” bars all representative actions “including any action or proceeding pursuant to the *California Private Attorneys General Act.*” (Thorne Decl., ¶4, emphasis added.)

Defendants further contend “the Agreement does not preclude Plaintiff from pursuing representative PAGA claims in Court.” (NOCD Reply, 9:9-10.) This is a “misreading” by defendants. The same paragraph (4) of the agreement goes on to specify that, pursuant to the bar on representative claims, “no claims may be brought or maintained on a [...] representative basis *either in Court or in arbitration.*”

The PAGA waiver therefore constitutes a third substantively unconscionable provision of the agreement.

Plaintiff also asserts other reasons that the agreement here is unconscionable, which the Court does not reach.

3. Severability

A court can refuse to enforce an unconscionable provision in a contract pursuant to Civil Code section 1670.5. (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 514.) If a contractual clause is found unconscionable, the court may, in its discretion, choose to do one of the following: (1) refuse to enforce the contract, (2) sever any unconscionable clause, or (3) limit the application of any clause to avoid unconscionable results. (*Ibid.*) While the strong preference is to sever the offending term and enforce the balance of the agreement, this is not possible where an agreement is permeated by unconscionability. (*Ibid.*)

Here, the Court concludes that plaintiff identifies three substantively unconscionable

provisions, as noted above, and that they permeate the entire purpose of the agreement. The issues cannot be remedied by severing the offending provisions.

Accordingly, the Court denies the motion.

17. 9:00 AM CASE NUMBER: C25-01575

CASE NAME: DONNA PREVOST VS. CMG MORTGAGE, INC.

***HEARING ON MOTION IN RE: RECONSIDERATION OF DENIAL OF CMG MORTGAGE, INC.'S MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS**

FILED BY: CMG MORTGAGE, INC.

TENTATIVE RULING:

Continued by the Court to May 20, 2026. The case management conference set for May 15, 2026, is also continued to May 20, 2026.

18. 9:00 AM CASE NUMBER: N25-2436

CASE NAME: PETITION OF: SONJA TYESI

HEARING ON PETITION IN RE: PETITION TO COMPEL PRODUCTION OF RECORDS

FILED BY:

TENTATIVE RULING:

Summary:

The hearing on Petitioner Sonja Tyesi's Motion to Compel Production of Records is continued to June 3, 2026 at 9:00 a.m. due to untimely service. No appearance is required on April 22, 2026.

Pursuant to Cal. Code of Civ. Proc. § 1005(b), "Unless otherwise ordered or specifically provided by law, all moving and supporting papers shall be served and filed at least 16 court days before the hearing." Furthermore, "if the notice is served by mail, the required 16-day period of notice before the hearing shall be increased by five calendar days if the place of mailing and the place of address are within the State of California" (Emphasis added). Applied here, in order for Petitioner's service to be timely, Respondent should have been served 16 court days plus five calendar days before April 22, 2026. That date is March 25, 2026. Petitioner's proof of service filed on April 15, 2026 demonstrates that Petitioner served Respondent Diablo Valley Ranch's agent for service of process by mail on April 15, 2026. The Court finds that service is untimely. The Court continues this hearing to June 3, 2026 in Department 16 at 9:00 a.m. in order to permit Respondents to file an opposition.

The Clerk of the Court is ordered to serve a copy of this ruling to Petitioner and to agent for service of process for Respondent Diablo Valley Ranch. No appearance is required at the hearing on April 22, 2026.